



INDIAN LAW & DEALMAKING · 19 AUGUST 2026

Five moves shaping the board now.

- › Guwahati NCLT admits ILFS petition
- › NCLAT affirms Chemstar insolvency admission
- › SEBI proposes comprehensive settlement overhaul
- › ED complaint reaches pre-cognizance stage
- › CCI clears Prudential Bharti Life deal

SWIPE →



Pledged shares dispute does not bar CIRP

NCLT Guwahati admitted Adhunik Meghalaya Steels to CIRP on 18 August 2026 under Section 7 on a petition by ILFS Financial Services. The tribunal held that disputes over pledged shares do not defeat an established financial debt and default.

THE READ

Adjudicating authorities will reject security accounting disputes as threshold defences once default is proven. Creditors can proceed with insolvency without waiting to resolve collateral recovery disputes.



NCLAT NEW DELHI · INSOLVENCY

02 / 05

Exact debt quantum not required for admission

NCLAT dismissed an appeal by suspended director Ashutosh Majumdar on 18 August 2026 against the CIRP admission of Chemstar Organics. The appellate tribunal held that exact quantum calculations need not be settled if default exceeds the statutory threshold.

THE READ

This ruling curtails protracted admission stage litigation over precise claim amounts. Debtors cannot stall insolvency by disputing granular accounting details above the threshold.



SEBI unveils sweeping settlement regulations overhaul

SEBI released draft settlement regulations on 18 August 2026 introducing a penalty linked formula and pre-show cause notice notices. The proposal extends application windows and establishes simplified disgorgement interest rates.

THE READ

The new framework aims to reduce the historical settlement premium over adjudicated penalties. Regulated entities should evaluate pending matters under these revised economic terms before the September deadline.



SPECIAL CBI COURT NEW DELHI · PMLA

04 / 05

Reliance Infrastructure faces pre-cognizance PMLA notice

Reliance Infrastructure disclosed on 18 August 2026 receipt of a pre-cognizance notice from the Special CBI Court relating to an ED money laundering complaint. The proceedings involve a three thousand crore rupee probe linked to Reliance Home Finance.

THE READ

The matter has escalated past investigative publicity into formal judicial pre-cognizance scrutiny. This transition triggers critical disclosure obligations and immediate defensive strategy assessments for the company.



CCI approves Prudential control in Bharti Life

The Competition Commission of India approved Prudential Corporation Holdings acquiring control of Bharti Life Insurance on 18 August 2026. Approval is tied to conditions requiring Prudential to reduce its stake in ICICI Prudential Life below ten percent.

THE READ

Cross holding constraints in heavily regulated sectors can successfully shape structural M and A clearances. Acquirers must factor divestment mechanics into transaction timelines and closing conditions.



THE THROUGH-LINE

Recent adjudicatory and regulatory actions demonstrate a strong judicial push for procedural efficiency across Indian forums. Tribunals are systematically cutting through collateral disputes to enforce statutory thresholds and financial discipline. At the same time regulatory bodies are modernizing enforcement frameworks to streamline compliance economics.





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